**WPP SCANGROUP PLC**

**UNAUDITED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2020**

| All figures in Ksh'000 | H1 2020 | H1 2019 Re-stated* |
|---|---|---|
| **Continuing operations** | | |
| Net sales | 1,089,337 | 1,371,348 |
| Operating and administrative expenses (excluding provision for bad debts) | (1,356,850) | (1,313,521) |
| Provision for bad and doubtful debts | (328,820) | (53,054) |
| Interest income net of interest expense | 39,058 | 115,309 |
| Impairment of goodwill | - | (6,290) |
| Other income | 8,671 | 7,659 |
| Foreign exchange gain | 31,523 | 6,314 |
| (Loss) / profit before tax from continuing operations | (517,081) | 127,765 |
| Tax charge | (14,939) | (48,436) |
| (Loss) / profit for the period from continuing operations | (532,020) | 79,329 |
| **Discontinued operations** | | |
| (Loss) / profit for the period from discontinued operations | (126,682) | 170,524 |
| Net gain on disposal of discontinued operations | 2,242,028 | - |
| Profit for the period | 1,583,326 | 249,853 |
| Other comprehensive loss | | |
| *Items that may be reclassified subsequently to profit or loss* | | |
| Exchange difference on translating foreign operations | (106,423) | (7,996) |
| Total comprehensive income for the year | 1,476,903 | 241,857 |
| Profit attributable to: | | |
| Shareholders of the holding company | 1,627,155 | 218,580 |
| Non-controlling interests | (43,829) | 31,273 |
| | 1,583,326 | 249,853 |
| Total comprehensive income attributable to: | | |
| Shareholders of the holding company | 1,543,097 | 213,382 |
| Non-controlling interests | (66,194) | 28,475 |
| | 1,476,903 | 241,857 |
| Basic and diluted earnings per share (Sh) | 3.77 | 0.51 |
| Number of shares '000 | 432,156 | 432,156 |

** Comparative figures for 30th June 2019 has been re-stated by disclosing results of discontinued operations separately*

WPP SCANGROUP PLC

## Unaudited Consolidated Statement of Financial Position as at 30 June 2020

| All figures in Ksh'000 | 30 June 2020 | 30 June 2019 |
|---|---|---|
| **ASSETS** | | |
| ***Non-current assets*** | | |
| Equipment | 212,954 | 339,663 |
| Right of use asset | 271,100 | 265,685 |
| Loan recoverable from related parties | 396,916 | 418,786 |
| Investment in associates and other equity investments | 190,745 | 200,109 |
| Deferred tax asset | 556,759 | 796,293 |
| Goodwill | 339,038 | 1,584,623 |
| | 1,967,512 | 3,605,159 |
| ***Current assets*** | | |
| Trade and other receivables | 2,413,859 | 4,959,463 |
| Receivable from related parties | 50,109 | 327,754 |
| Work-in-progress | 10,647 | 30,458 |
| Tax recoverable | 944,250 | 912,869 |
| Cash, bank balances and deposits | 7,439,976 | 3,782,265 |
| | 10,858,841 | 10,012,809 |
| Total assets | 12,826,353 | 13,617,968 |
| **EQUITY AND LIABILITIES** | | |
| ***Capital and reserves*** | | |
| Share capital | 432,156 | 432,156 |
| Share premium account | 9,155,166 | 9,155,166 |
| Revenue (deficit) / reserve | 708,516 | (2,347,803) |
| Translation reserve | (514,281) | (412,292) |
| Equity attributable to share holders of the holding company | 9,781,557 | 6,827,227 |
| Non-controlling interests | 80,785 | 142,048 |
| Total equity | 9,862,342 | 6,969,275 |
| ***Non-current liabilities*** | | |
| Deferred tax liability | 3,660 | 8,639 |
| Lease liabilities | 214,735 | 288,983 |
| Loan payable to a related parties | - | 504,194 |
| | 218,395 | 801,816 |
| ***Current liabilities*** | | |
| Trade and other payables | 2,517,425 | 3,929,286 |
| Tax payable | 113,291 | 154,905 |
| Payable to related parties | 13,543 | 829,371 |
| Lease liabilities | 69,840 | - |
| Dividends payable | 31,517 | 933,315 |
| | 2,745,616 | 5,846,877 |
| Total equity and liabilities | 12,826,353 | 13,617,968 |

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## Unaudited Consolidated Statement of Changes in Equity as at 30 June 2020

**All figures in Ksh'000**

| | Share capital | Share premium | Revenue reserve / (deficit) | Translation deficit | Attributable to share holders of the holding company | Non-controlling interests | Total |
|---|---|---|---|---|---|---|---|
| At 1 January 2019 | 432,156 | 9,155,166 | (837,759) | (407,094) | 8,342,469 | 122,950 | 8,465,419 |
| Profit for the period | - | - | 218,580 | - | 218,580 | 31,273 | 249,853 |
| Other comprehensive loss | - | - | - | (5,198) | (5,198) | (2,798) | (7,996) |
| Dividend declared - 2018 | - | - | (1,728,624) | - | (1,728,624) | (9,377) | (1,738,001) |
| **At 30 June 2019** | **432,156** | **9,155,166** | **(2,347,803)** | **(412,292)** | **6,827,227** | **142,048** | **6,969,275** |
| At 1 January 2020 | 432,156 | 9,155,166 | (2,128,152) | (430,223) | 7,028,947 | 163,625 | 7,192,572 |
| Profit for the period | - | - | 1,627,155 | - | 1,627,155 | (43,829) | 1,583,326 |
| Other comprehensive loss | - | - | - | (84,058) | (84,058) | (22,365) | (106,423) |
| Release of reserve upon disposal of subsidiary previously acquired under common control | - | - | 1,209,513 | - | 1,209,513 | - | 1,209,513 |
| Non-controlling interests released upon disposal of subsidiary | - | - | - | - | - | (16,646) | (16,646) |
| **At 30 June 2020** | **432,156** | **9,155,166** | **708,516** | **(514,281)** | **9,781,557** | **80,785** | **9,862,342** |

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## Unaudited Consolidated Statement of Cash Flow for six month ended 30 June 2020

| All figures in Ksh'000 | H1 2020 | H1 2019 |
|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | |
| Profit for the year | 1,583,326 | 249,853 |
| ***Adjustments:*** | | |
| Depreciation | 67,082 | 65,623 |
| Depreciation of right-of-use assets | 58,481 | 34,157 |
| Net gain / (loss) on sale of assets | 438 | (1,696) |
| Tax charge | 55,318 | 137,724 |
| Impairment of Goodwill | - | 6,290 |
| Share of loss in associates | 154 | 1,898 |
| Net exchange loss on long term loan to related companies | 4,207 | - |
| Net gain on disposal of subsidiaries | (2,242,028) | - |
| Interest expense on lease | 12,397 | 11,878 |
| Interest income | (48,050) | (135,553) |
| Cash generated from operations before working capital changes | (508,675) | 370,174 |
| ***Movement in working capital*** | | |
| Decrease in trade and other receivables | 1,205,006 | 677,753 |
| (Increase) / decrease in work-in-progress | (216) | 43,502 |
| Decrease in trade and other payables | (524,180) | (742,737) |
| Change in related party balances | (242,011) | 224,813 |
| | 438,599 | 203,331 |
| Cash generated from / (used in) operating activities | (70,076) | 573,505 |
| Tax paid | (144,783) | (322,600) |
| **Net cash generated from / (used in) operating activities** | **(214,859)** | **250,905** |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | |
| Purchase of equipment | (78,334) | (49,286) |
| Proceeds on sale of equipment | 4,973 | 4,442 |
| Net proceeds on sale of subsidiaries | 5,593,380 | - |
| Loan disbursed | - | (98,717) |
| Interest income received | 49,185 | 147,663 |
| **Net cash generated from / (used in) investing activities** | **5,569,204** | **4,102** |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | |
| Dividends paid | (1,199) | (861,435) |
| Lease repayments | (42,539) | (46,696) |
| Loan repaid by related party | 8,521 | - |
| **Net cash used in financing activities** | **(35,217)** | **(908,131)** |
| **Net increase / (decrease) in cash and cash equivalents** | **5,319,128** | **(653,124)** |
| **MOVEMENT IN CASH AND CASH EQUIVALENTS** | | |
| Cash and cash equivalents at the beginning of the period | 2,133,713 | 4,424,749 |
| Increase / (decrease) during the period | 5,319,128 | (653,124) |
| Effect of fluctuations in exchange rates | (12,865) | 10,640 |
| Cash and cash equivalents at end of the period | 7,439,976 | 3,782,265 |

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## CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2020

| All figures in Ksh'000 | H1 2020 | H1 2019 Re-stated* |
|---|---|---|
| **Continuing operations** | | |
| Net sales | 1,089,337 | 1,371,348 |
| Operating (loss)/profit before provision for bad debts | (267,513) | 51,537 |
| Provision for bad and doubtful debts | (328,820) | (53,054) |
| Interest income net of interest expense | 39,058 | 115,309 |
| Other income | 8,671 | 7,659 |
| Foreign exchange gain | 31,523 | 6,314 |
| (Loss)/profit before tax from continuing operations | (517,081) | 127,765 |
| Tax charge | (14,939) | (48,436) |
| (Loss)/profit for the period from continuing operations | (532,020) | 79,329 |
| **Discontinued operations** | | |
| (Loss)/profit for the period from discontinued operations | (126,682) | 170,524 |
| Net gain on disposal of discontinued operations | 2,242,028 | - |
| Profit for the period | 1,583,326 | 249,853 |
| Other comprehensive loss | | |
| Items that may be reclassified subsequently to profit or loss | | |
| Exchange difference on translating foreign operations | (106,423) | (7,996) |
| Total comprehensive income for the period | 1,476,903 | 241,857 |
| Profit attributable to: | | |
| Shareholders of the holding company | 1,627,155 | 218,580 |
| Non-controlling interests | (43,829) | 31,273 |
| | 1,583,326 | 249,853 |
| Total comprehensive income attributable to: | | |
| Shareholders of the holding company | 1,543,097 | 213,382 |
| Non-controlling interests | (66,194) | 28,475 |
| | 1,476,903 | 241,857 |
| Basic and diluted earnings per share (Sh) | 3.77 | 0.51 |
| Number of shares '000 | 432,156 | 432,156 |

* Comparative figures for 30th June 2019 has been re-stated by disclosing results of discontinued operations separately

## CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2020

| All figures in Ksh'000 | 30 June 2020 | 30 June 2019 |
|---|---|---|
| **ASSETS** | | |
| Non-current assets | 1,967,512 | 3,605,159 |
| Current assets | 10,858,841 | 10,012,809 |
| **TOTAL ASSETS** | **12,826,353** | **13,617,968** |
| **EQUITY AND LIABILITIES** | | |
| Capital and reserves | | |
| Share capital | 432,156 | 432,156 |
| Share premium | 9,155,166 | 9,155,166 |
| Revenue reserve / (accumulated deficit) | 708,516 | (2,347,803) |
| Translation deficit | (514,281) | (412,292) |
| Equity attributable to shareholders of the holding company | 9,781,557 | 6,827,227 |
| Non-controlling interests | 80,785 | 142,048 |
| Total equity | 9,862,342 | 6,969,275 |
| Non-current liabilities | 218,395 | 801,816 |
| Current liabilities | 2,745,616 | 5,846,877 |
| **TOTAL EQUITY AND LIABILITIES** | **12,826,353** | **13,617,968** |

## CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 30 JUNE 2020

| All figures in Sh'000 | H1 2020 | H1 2019 |
|---|---|---|
| Cash (used in)/generated from operating activities | (70,076) | 573,505 |
| Tax paid | (144,783) | (322,600) |
| Net cash (used in) / generated from operating activities | (214,859) | 250,905 |
| Net cash flows from investing activities (including net proceeds from disposal of subsidiaries) | 5,569,204 | 4,102 |
| Net cash flows from financing activities | (35,217) | (908,131) |
| **Net increase / (decrease) in cash and cash equivalents** | **5,319,128** | **(653,124)** |
| **Movement in cash and cash equivalents** | | |
| Cash and cash equivalents at the beginning of the period | 2,133,713 | 4,424,749 |
| Net increase / (decrease) during the period | 5,319,128 | (653,124) |
| Effect of fluctuations in exchange rates | (12,865) | 10,640 |
| **Cash and cash equivalents at end of the period** | **7,439,976** | **3,782,265** |

## CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2020

| All figures in KES'000 | Share capital | Share premium | Revenue reserve | Translation reserve | Non-controlling interests | Total |
|---|---|---|---|---|---|---|
| At 1 January 2019 | 432,156 | 9,155,166 | (837,759) | (407,094) | 122,950 | 8,465,419 |
| Profit for the period | - | - | 218,580 | - | 31,273 | 249,853 |
| Other comprehensive loss | - | - | - | (5,198) | (2,798) | (7,996) |
| Dividend declared - 2018 | - | - | (1,728,624) | - | (9,377) | (1,738,001) |
| **At 30 June 2019** | **432,156** | **9,155,166** | **(2,347,803)** | **(412,292)** | **142,048** | **6,969,275** |
| At 1 January 2020 | 432,156 | 9,155,166 | (2,128,152) | (430,223) | 163,625 | 7,192,572 |
| Profit for the period | - | - | 1,627,155 | - | (43,829) | 1,583,326 |
| Other comprehensive loss | - | - | - | (84,058) | (22,365) | (106,423) |
| Release of reserve upon disposal of subsidiary previously acquired under common control | - | - | 1,209,513 | - | - | 1,209,513 |
| Non-controlling interests released upon disposal of subsidiary | - | - | - | - | (16,646) | (16,646) |
| **At 30 June 2020** | **432,156** | **9,155,166** | **708,516** | **(514,281)** | **80,785** | **9,862,342** |

### Management Observations

The Board of Directors hereby announce the unaudited results of the Group for the six months period ended June 30, 2020.

As previously announced, the Group completed the sale of its interest in Millward Brown East Africa Limited, Millward Brown Nigeria Limited , Millward Brown West Africa Limited and Research & Marketing Group Investment Limited on 30 June 2020, whose results have been included as part of discontinued operations. The Group made a net gain on disposal of KShs 2.24 billion.

**Consolidated results for continuing operations:** Net sales has reduced by 21% as the advertising business was significantly affected due to cost-cutting measures taken by a number of our clients as a result of the COVID 19 outbreak. The Group has also undertaken measures to reduce its costs . Despite these measures, the Group made a operating loss before provision for bad debts of Ksh 267m ( 2019 – Profit Ksh 51 m) from its continuing operations. An additional bad debt provision of Ksh 329m has been made in this period, primarily relating to an overdue amount from a parastatal client. Foreign exchange gain increased by Ksh 25m from Ksh 6m in previous period. Interest income reduced by Ksh 76m mainly due to reduction in deposits used to pay the special dividend in 2019.

### Group results

Group profit after tax increased from Ksh 250m to Ksh 1,583m primarily as a result of the gain on disposal of discontinued operations. The profit attributable to shareholders is Ksh 1,627m ( 2019 Ksh 219m).

### Accounting Policies

The accounting policies used in preparing these financial statements are consistent with those used for the Group's 2019 annual financial statements.

### Special interim dividend

On 6 July 2020, the Company announced that the Board of Directors has approved a payment of a special interim dividend of Shs 8.00 per share to the shareholders on the register on 28 July and payable on or before 27 August 2020.

### Outlook for the rest of the year

We expect the results of the second half of the year to improve as compared to the first half. The company continues to identify efficiency enhancements.

**By Order of the Board**

Reuben Mwangi, Company Secretary, 06 August 2020

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